Consumer Protection (E-Commerce) Rules Another Protective Attempt to Shield Declining Physical Distribution

The government used powers under the Consumer Protection Act 2019 to frame amendments to the Consumer Protection (E-Commerce) Rules 2020 and released its draft for public comments on 21 June 2020. The draft rules seek to impose several unnecessary and onerous obligations on e-commerce entities operating in India.

Quite unrelated to the objectives of the Consumer Protection Act, the draft rules contained several provisions relating to the listing of related parties and associated enterprises as sellers, prohibitions on sale of its own goods and services by the e-commerce entity on its e-commerce platform, prohibition of flash sales, etc. The proposals of the draft rules hurt not only the foreign e-retailers but also domestic e-commerce entities. In this sense, the Consumer Protection draft rules went beyond the approach adopted for many years for achieving these objectives under the FDI regulations.

Quite predictably, the draft rules were opposed both by the foreign-controlled e-commerce companies and also by the domestic e-commerce companies. The draft rules are so widely framed that these rules, if finally notified, would become the bane of not only e-commerce companies in trading but would hurt the fintech, health-tech and other technology companies being established by start-ups in India.

These rules are an attempt to stop the march of e-commerce and digital technology-driven services, which are creating enormous business value, by disrupting the entire distribution and retail businesses being more efficient, less costly and delivering better service experience.

The draft rules should be withdrawn.